



Washington's Post-Iran Playbook: Risks, Deals and Pressure Points

June 29, 2026

Executive Summary

- Markets should expect more policy volatility, not less, after Iran. Washington's willingness to consider using force means geopolitical tail risks will likely remain difficult to price.
- The midterms may cap some near-term volatility but increase incentives for visible foreign policy wins. President Trump has reason to avoid market-disruptive escalation before November, but pressure for quick wins could accelerate action on Cuba and Europe.
- After November, foreign policy could become an even bigger focus. If domestic legislating becomes harder, the administration is likely to lean more heavily on executive tools, sanctions, tariffs, security deals and international resource coalitions.

Context

- The first half of 2026 has demonstrated that the Trump administration has a higher tolerance for market volatility than many anticipated, including decisions that risk disrupting trade, commodity flows and supply chains.
- Markets will remain sensitive to signalling from the Trump administration on international security. Trump's willingness to threaten force to advance talks drove repeated bouts of volatility in H1 – but the signals will remain hard to price as the continued ambiguity may lead markets to misinterpret geopolitically driven tail risks over the next two and a half years.
- The Iran ceasefire partially frees Trump to refocus on longstanding policy priorities in the second half of 2026. But domestic political pressures will likely weigh more heavily on the Trump administration's foreign policy post-Iran. Public support for further military campaigns – especially lengthy ones or those involving ground forces – is low. But investors should not overestimate how far this constraint will shape Trump's international strategy over the coming two and a half years.
- The administration has shown it is willing to use, or threaten to use, air and naval forces to resolve international disputes where negotiations stall. The interventionism of H1 2026 defied almost every expectation set in 2025 for Trump's second term. While it is not our base case, investors should consider tail-risk scenarios that hit markets through energy supply, freedom of navigation in key waterways, or spillover into tariffs and export controls.

From ceasefire to stress test

- Even after the Memorandum of Understanding with Iran, the US faces serious diplomatic and security challenges in the Middle East. The Phase 2 negotiations with Iran that began on 21 June (focusing on the nuclear programme and deal implementation) will be complex and almost certainly run past the initial 60 days. Reopening the Strait of Hormuz to full pre-war

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traffic could take months and require a major military commitment to fully de-mine its central corridor and reassure shipping firms.

- Washington is consequently pushing European allies and other regional actors to shoulder more of the burden after the initial re-opening. Recent strains in US-Israel relations could complicate the administration's efforts to maintain delicate ceasefires in Lebanon and Gaza, and have already affected the truce with Iran and the navigability of the Strait of Hormuz. Alongside US efforts to manage post-war security assurances for Gulf Arab countries ([which we discussed in our recent note](#)), the Middle East will likely remain a focus for the rest of Trump's term.

NATO's burden-sharing bill comes due

- We expect pressure on European allies to carry more of the security burden will intensify as US stockpile and resource constraints bite after the Iran war. Trump's demands will likely headline the NATO Leaders Summit in Ankara on 7-8 July. It is slated to assess the credibility of national defence spending plans and advance the emerging "NATO 3.0" agenda under which European NATO members take on more responsibility for their own conventional defence.
- Ahead of the meeting, the US has announced some military pullbacks from Europe and reportedly notified allies of further planned reductions to its NATO Force Model contributions. To slow the withdrawal of hard-to-replace US capabilities (such as air defence, long-range weaponry and strategic airlift), European leaders will likely stress their commitment to NATO's new 3.5%-of-GDP target for "core" defence spending and their readiness to help clear the Strait of Hormuz.

Tariff pressure remains a dealmaking tool

- The July expiry of Section 122 tariffs and their replacement by Section 301 levies should keep pressure on countries to strike bilateral deals favourable to the US, spanning trade, investment, industrial and technology concessions. While EU-US trade relations are more stable now than in early 2025, there remains a tail risk that a transatlantic security or sovereignty dispute (renewed American claims on Greenland, for instance) spills over into the economic relationship.

Ukraine diplomacy sees renewed momentum

- Trump will likely renew his push for a ceasefire in the Russia-Ukraine war. The G7 Leaders' 16 June commitment to boost support for Ukraine and increase pressure on Russia struck European capitals as an encouraging sign that the US was converging on their approach to the conflict. After meeting Volodymyr Zelensky the same day, Trump signalled he could reinstate Russian oil export sanctions to press Moscow towards a settlement. On 17 June, the US Treasury's most recent waiver of Russian oil sanctions expired. But US-Europe rhetorical alignment could reverse quickly – for instance if US-Russia-Ukraine negotiations resume in a format that largely excludes the EU/UK. While a ceasefire this year is far from guaranteed, any deal brokered by the Trump administration could offer Russia sanctions relief and access to frozen assets.



Asia policy balances deterrence with détente

- The US strategy for the Asia Pacific is crystallising around pragmatic balancing with China and more burden-sharing with allies. In a 30 May speech to the Shangri-la Dialogue, Defence Secretary Pete Hegseth reaffirmed the 2026 US National Defence Strategy's aim of building up forces to strengthen deterrence and denial along the First Island Chain and in the Taiwan Strait. But with resources stretched and stockpiles to rebuild post-Iran, Washington will likely pair this build-up with mounting demands that allies spend more on their own defence, using incentives such as favourable access to weapons programmes, intelligence sharing and industrial collaboration.
- We expect the administration to prioritise stabilising relations with Beijing in the lead-up to the Trump-Xi summit in Washington, D.C. on 24 September, where the 2025 Busan trade and critical minerals truce may be extended. Even so, a steadier US-China relationship will not undo deepening long-term competition on military, economic and technology issues. Strong bipartisan alignment in Congress on a more hawkish China policy should also keep pressure on the administration to limit any rapprochement with Beijing.

The Americas become a legacy play

- Extending the “Donroe Doctrine” in the Americas should offer Trump a legacy-building opportunity. The US stands to gain from a rightward shift in regional governments (now including Colombia and Peru), letting the administration expand its Shield of the Americas initiative to counter drug trafficking and curb Chinese involvement in critical infrastructure. US pressure on Cuba is mounting, which may lead to more brinksmanship or a partial negotiated solution with Havana in the next few months.
- We expect Trump to also push to widen American involvement in anti-cartel efforts in Mexico, which the Sheinbaum government will likely accommodate through already-close US-Mexico security cooperation. The US will likely also keep leading the rapid re-development of Venezuela's oil and minerals sector and collaborating with the Rodriguez government on anti-gang measures. The drive for a democratic transition in Caracas is expected to persist but may take longer to materialise as the administration focuses on near-term stability.

The impact of midterm elections

- The 3 November midterms will likely bring domestic politics to the fore and shape the Trump administration's international agenda. The thesis that the midterms will steady US policy is partly credible: Trump has a strong incentive not to shock equity and bond markets or stoke inflation ahead of the vote. But the midterms will cut both ways. Some foreign policy issues should benefit from more stability before November – namely US-China ties and the security situation in the Gulf. Yet an administration looking to demonstrate strength through quick wins may pursue other issues more aggressively. Investors should watch rising US pressure on Cuba and the political relationship with Europe as likelier sources of nearer-term movement.
- What happens after the midterms actually matters more. Recent polling and historical precedent – governing parties usually shed seats at midterms – point to Republicans losing control of at least the House of Representatives. Even so, this would not decisively restrict the administration's foreign policy in its final two years: the US executive holds broad foreign affairs and military powers. While a Democratic-controlled House may attempt to constrain



certain Trump initiatives through spending and oversight powers, the administration has already proved willing to work around congressional limitations.

- With little room to pass major domestic legislation, Trump is likely to become a “foreign policy president”, focused on cementing his legacy. This should include: embedding existing tariff and investment deals with key US partners; deepening US leadership in the Americas; creating the conditions for a pull-back of American resources from Europe (including brokering a Russia-Ukraine ceasefire); and broadening US efforts to reduce rare earths and critical minerals dependence on China, including through international coalitions such as the US-led Pax Silica initiative.



Appendix 1

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